best way to go. Instead, they prefer the disruptive innovation playbook, which in my view is neither enough nor sustainable. Before I explain why it is so, let us understand the other kinds of innovations and how they affect capital or the economy in general.

Companies have generally followed three types of innovations for many decades. Most CXOs are often focused on only the first two types, whereas the third type has radically affected many industries. I will also introduce you to the fourth type, which can help you change the game.

Three types of innovations

In his seminal work, 'The Innovator's Dilemma,' Clayton Christensen has discussed the three primary forms of innovation. Borrowing from that idea, let me explain the first three types of innovations and their impact on jobs, capital, and the economy.

We are looking at these innovation forms from a capital and job perspective for one key reason. These are the two important aspects that often and significantly affect the economy. More jobs or more available capital will lead to a drastically different market or economy than one with fewer jobs and restricted capital.

Incremental innovation: Incremental innovation is best defined as good-getting-better. The product or service does not change significantly. Only a smaller portion of it, feature or function, improves. It only helps in marginally improving customer experience and (or) the business bottom-line. Due to the nature of incremental innovation and its magnitude, it does not affect the job market. Moreover, there is no impact on capital, or cash-flow, for the business or the market in general.

If you look carefully, almost everyone is doing it. Without even realising it, most of us try to get better at what we do, bit-by-bit. So, it has become part and parcel of business and human life as such.

> DISRUPTIVE INNOVATION SHOULD CLOSELY FOLLOW EFFICIENCY INNOVATION FOR ECONOMIC STABILITY AND SUSTAINABLE GROWTH!

Efficiency innovation: Most of the transformation projects in business are geared towards this type of innovation. Whether your business is on the digital transformation journey or any other kind, the goals will likely dictate efficiency improvement.

By definition, efficiency means output divided by input. It means businesses want to increase the output or stay at the same level by reducing the input.

The input for any business comes in many different forms. It could be workforce, raw material, natural resources, money, machinery, parts, time to perform the work or produce output, and many others. So, when businesses want to improve efficiency, they are looking to reduce one or more of those inputs while increasing the output as much as possible.

Essentially, it means you want to have fewer people doing the same things, less material to produce the same thing, or to spend less time in production or service delivery. This more often means job losses or significant displacements. But by using lesser input, the business can free up the capital tied in those resources. This freed-up capital or cash-flow can then be utilised for other purposes.

Disruptive innovation: This type of innovation has remained the poster-boy of all innovations until now. Disruptive innovation in the real sense means making a product or service democratised, so that more and more people can use it. It often means businesses need to produce more products or need to deliver services to more customers.

It almost always results in needing more people to do the job and, therefore, it results in more jobs. However, business needs more capital to produce, perform, and hire more people. Disruptive innovation, in the ideal sense, creates more jobs and ties up a lot of capital.

But make no mistake, disruptive innovation is different than disruption. Mere disruption in the market is an annoying disturbance without creating much value for business or customers. It is much like someone throwing a spanner in a smoothly running machine without improving the machine's efficiency. Several businesses, especially startups, confuse disruption with disruptive innovation. This conflation is aggravated by the glamour this term attracts.

Efficiency vs disruptive innovation

Think of the Internet, for example. Only one third of the world population does not have proper access to it. However, this was not the case ten to fifteen years ago when only a handful of people were on the Internet. Personal devices, such as tablets and smartphones, have contributed to democratising the Internet. So, many more people can now access it. Therefore, it will be fair to say that smartphones and similar personal devices are disruptive innovations.

However, if you think about artificial intelligence (AI), most AI-related products or services promise a reduction in input while increasing